

TABLE 11-3 Performance of Chemical and Oil Stocks in the DJIA, 1970 versus 1964

	1963			1970		
	Closing Price	Earned Per Share	P/E Ratio	Closing Price	Earned Per Share	P/E Ratio
<i>Chemical companies:</i>						
Allied Chemical	55	2.77	19.8 ×	24½	1.56	15.5 ×
Du Pont ^a	77	6.55	23.5	133½	6.76	19.8
Union Carbide ^b	60¼	2.66	22.7	40	2.60	15.4
			25.3 ave.			
<i>Oil companies:</i>						
Standard Oil of Cal.	59½	4.50	13.2 ×	54½	5.36	10.2 ×
Standard Oil of N.J.	76	4.74	16.0	73½	5.90	12.4
Tesac ^b	35	2.15	16.3	35	3.02	11.6
			15.3 ave.			

^a 1963 figures adjusted for distribution of General Motors shares.^b 1963 figures adjusted for subsequent stock splits.

2. *Management.* On Wall Street a great deal is constantly said on this subject, but little that is really helpful. Until objective, quantitative, and reasonably reliable tests of managerial competence are devised and applied, this factor will continue to be looked at through a fog. It is fair to assume that an outstandingly successful company has unusually good management. This will have shown itself already in the past record; it will show up again in the estimates for the next five years, and once more in the previously discussed factor of long-term prospects. The tendency to count it still another time as a separate bullish consideration can easily lead to expensive overvaluations. The management factor is most useful, we think, in those cases in which a recent change has taken place that has not yet had the time to show its significance in the actual figures.

Two spectacular occurrences of this kind were associated with the Chrysler Motor Corporation. The first took place as far back as 1921, when Walter Chrysler took command of the almost moribund Maxwell Motors,